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SWISS CHOCOLATE CHALLENGE: SWISSONE VERSUS TOBLERONE

Marc Fetscherin and Camille Sibbitt wrote this case solely to provide material for class discussion. The authors do not intend to illustrate either effective or ineffective handling of a managerial situation. The authors may have disguised certain names and other identifying information to protect confidentiality.

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In 2021, Vernon Stuber moved back to Switzerland and founded Cocoa Luxury SA after spending two decades in Australia manufacturing confectionery products. Stuber had grown up in Bern, the capital of Switzerland and the city where the Toblerone chocolate bar originated. When he started his business, he intended to sell three types of chocolate bars in Switzerland. He had worked on a unique chocolate recipe and finished his prototypes, and in January of 2022, he was considering the competitive landscape of the Swiss and global chocolate industries to finalize his marketing plan and strategy for 2022. He also wanted to better understand the various target market segments, and he wondered which product characteristics he should emphasize (e.g., Fairtrade versus organic labelling, sustainability, health factors, superior taste, and artisanal versus mass-produced chocolate) for his positioning strategy.

COMPANY BACKGROUND

Vernon Stuber founded the SwissOne brand, building on his years of experience in the Australian market manufacturing confectionery products that contained no artificial flavours, colours, or vegetable fats.[1] After returning to Switzerland, Stuber noticed that the integrity and quality of Swiss chocolate was declining because companies were using more sugar to lower their costs, and he created the brand name SwissOne to mean "back to the roots of Swiss chocolate art" (see Exhibit 1).

The company was committed to quality, sustainability, and reviving the concept and legacy of traditional high-quality Swiss chocolate, which was low in sugar and had high cacao content and pure, premium ingredients. SwissOne aimed to differentiate its products by using more cacao and less sugar than other brands and focusing on the premium market segments. Switzerland itself enjoyed a positive and well-established association with chocolate making and quality, being home to several world-famous chocolate brands and manufacturers.

In 2021, SwissOne established a sustainable supply chain that was aligned with the Fairtrade Max Havelaar Foundation. This provided SwissOne's cacao farmers with excellent working conditions and fair wages, and it offered traceability and transparency to SwissOne's customers.[2] However, the company was still fairly young and still working to improve its brand awareness.

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SWISSONE'S PRODUCT PORTFOLIO

SwissOne's product portfolio included three types of chocolate, all in 100 gram (g) bars: SwissOne Milk, which contained 48 per cent cacao; SwissOne Nougatine, which contained 48 per cent cacao paired with honey and almonds; and SwissOne Dark, which contained 70 per cent cacao (see Exhibit 2). The only imported ingredients the company used were cacao and select almonds; the rest of SwissOne's premium ingredients, such as honey, were sourced or produced in Switzerland.[3] SwissOne made its chocolate free of palm oil and gluten, and used more cacao and less sugar than its competitors. The production partner was located in Switzerland and provided valuable experience for making a high-quality product.[4] The production partner's location also enabled SwissOne to improve quality control over its production process and distribution. The company's commitment to sustainability was reflected in its product packaging; all of the company's chocolate was wrapped in biodegradable packaging, called Bio Foil, derived from sustainably harvested wood (see Exhibit 3).

SwissOne formed its chocolate using special-order moulds and machines, which gave it an innovative shape that distinguished it from standard chocolate bars or Toblerone.[5] Stuber got the idea for the form and shape of the SwissOne chocolate from the Sydney Opera House, which inspired him when he was working in Australia. The company's distribution strategy included specialty stores, premium department stores, and the head office located in Zug, Switzerland.[6] SwissOne also partnered with Sweets, Switzerland's largest online retailer of mainstream and exclusive sweets, to sell its chocolates online at the price of $7.49 each.[7] SwissOne followed a standard pricing policy for its products in all markets (no discounts), and it targeted consumers who wanted traditional, sustainable, and better-tasting chocolate.[8]

THE GLOBAL CHOCOLATE INDUSTRY

The global chocolate industry generated revenues of approximately $106.1 billion—or 49.1 per cent of the total global candy and chocolate manufacturing market—in 2020.[9] At this point, the global chocolate industry had reached the mature stage, with well-established markets in Europe and North America and a handful of dominant global brands (see Exhibit 4).

Key global players included Mars Incorporated (United States—US), Ferrero (Italy), Mondelez International (US), Nestlé (Switzerland), and The Hershey Company (US), which collectively made up about 30 per cent of the global market share.[10] Several of these brands had existed for a century or longer, enjoying strong brand awareness and reputations for quality that solidified their positions within the industry.[11] Nonetheless, there was still room for growth in this industry, as the middle classes in emerging markets—such as those in Brazil, China, and India—had begun to establish their demand for chocolate as an inexpensive luxury, and since changes in consumer tastes were opening the door for new products.

There were three main types of cacao beans used to make chocolate: bulk cacao, known as Forastero; and two types of fine-grade cacao, Criollo and Trinitario.[12] Fine-grade cacao composed only about 5 per cent of global cacao production, but because it offered a complex flavour profile, featuring fruit, floral, and wood notes, customers considered it a premium cacao.[13] Manufacturers fermented, dried, roasted, and either pressed or ground the cacao beans to produce chocolate liquor (which they would make into cacao powder) or cocoa butter.[14] There were three main varieties of chocolate—milk, dark, and white—determined by the cacao content; dark chocolate contained anywhere from 50 to 90 per cent cacao powder, while milk chocolate contained between 10 per cent and 50 per cent.[15] White chocolate did not contain any cacao powder, which was the reason for its white colour. Recent health studies had shown that dark chocolate, with its high cacao content, was rich in flavanol antioxidants, which promoted health; as a result, health-conscious customers were shifting their preference from milk chocolate to dark chocolate.[16]

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The sourcing of cacao beans was one of the riskiest and most problematic aspects of the chocolate industry, as it raised concerns regarding ethics and sustainability. The primary growers of cacao beans were rural farmers in the warm, tropical climates of West Africa and South America. Approximately 45 per cent of the world's cacao came from Côte d'Ivoire, and other top cacao producers included Ghana, Ecuador, Cameroon, and Nigeria.[17] On the one hand, the global demand for chocolate did provide an important source of income for these developing countries and an opportunity to improve their socio-economic condition. However, there was a dark side: in some cases, these countries experienced political instability and corruption, and many had fewer regulations in place for maintaining ethical standards than more developed countries.[18] Developing countries were also more vulnerable to natural disasters and health crises, which caused them to suffer from slower recovery times.[19] Rural farms often lacked proper, up-to-date infrastructure, and up to 93 per cent of cacao farmers earned less than a living income.[20] Unethical practices, such as deforestation and child labour, remained prevalent. In Côte d'Ivoire and Ghana, an estimated 2.3 million children were regularly involved in agricultural work between 2018 and 2019.[21] As consumers became more conscious of corporate social responsibility (CSR) and demanded ethical and sustainable sourcing for the products they bought, they increasingly sought chocolate brands that had been certified with official labels such as Fairtrade, which signalled that they were produced without child labour and that the farmers involved were paid fair wages. While this increased production costs for chocolate manufacturers, the sourcing of Fairtrade ingredients differentiated more ethical chocolate manufacturers from their competitors.

Price volatility was another risk in the chocolate industry: the price of cacao dropped by as much as 30 per cent in 2017 and then rose by 13 per cent in 2018.[22] Instability of profit margins within this industry was another factor for both incumbent firms and new entrants to consider. Such instability could be particularly difficult for smaller companies that lacked economies of scale and the production volumes that enabled larger enterprises to spread out the costs.[23] It was also important for chocolate manufacturers to diversify their suppliers to mitigate sourcing risk. The price of cacao relied on crop yield, which was vulnerable to poor climate, disease, pests, improper harvesting techniques, and other factors.[24] These outside factors had previously caused production losses as high as 30 to 40 per cent.[25] The chocolate industry's vulnerability to price shocks was one reason why companies used less cacao in their products and maximized the use of other ingredients like milk, sugar, and vegetable fats to create chocolate that was cheaper to produce and less exposed to these risks—but also lower quality and less healthy.

Artisanal chocolate was the smallest sector in chocolate production; it accounted for only 27 per cent of total global consumption.[26] Industrial chocolate followed a relatively standardized three-step manufacturing process and used equipment and machinery that had not changed significantly over the decades; however, technology had become key for developing quality control and tracking inventory within the industry.[27] Blockchain and traceable cacao were two areas of technology that chocolate companies were increasingly investing in.[28] One of the newest innovations in the global chocolate industry was Callebaut's ruby chocolate, which offered a unique berry flavour and a natural pink colour that was both refreshing and eye-catching to customers.[29]

Demand for chocolate was relatively elastic and tied to disposable income. The chocolate industry also experienced strong seasonal trends. Chocolate was a popular treat and gift choice during major holidays, such as Christmas, Valentine's Day, and Easter, with consumption peaking between December and April.[30] Germany alone produced 153 million chocolate Santas and 220 million chocolate Easter bunnies in 2019.[31] Chocolate consumption would fall during warmer months, when other sweet treats, such as fresh fruit and ice cream, became more favourable—and less heat-sensitive—substitutes.[32] Chocolate brands were combating this by partnering or co-branding to create innovative products that featured their chocolate, from frozen desserts to craft beers.[33] Supermarkets and hypermarkets were the primary distribution channels, in which a total of 40.7 per cent of global chocolate sales took place (see Exhibit 4).

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THE SWISS CHOCOLATE INDUSTRY

History

The Swiss chocolate industry traced its beginnings back to the early nineteenth century, when François-Louis Cailler—who had travelled to Italy to study the art of chocolate making—established Switzerland's first chocolate factory in 1819.[34] Two centuries later, the Cailler chocolate brand remained the oldest chocolate brand in Switzerland. Innovation had been a common theme throughout the development of the Swiss chocolate industry; in 1826, Philippe Suchard invented the first machine that could mix cacao powder and sugar.[35] In 1875, Cailler's son-in-law, Daniel Peter, invented milk chocolate; he had discovered that using powdered milk, rather than fresh milk, could prevent the development of mildew.[36] A few years later, in 1879, Rodolphe Lindt created a machine that created melted chocolate, making it easier to pour and shape into moulds.[37] These three developments gave Switzerland a competitive advantage within the world of chocolate and a positive reputation early on. The nineteenth century also saw the founding of several famous Swiss chocolate brands, including Nestlé and Lindt (see Exhibit 5).[38] In 1908, Theodor Tobler and his cousin Emil Baumann established Toblerone in Bern, Switzerland. They created a unique recipe (consisting of milk chocolate, almonds, honey, and nougat) and triangular shape and packaging. The name Toblerone was a combination of Tobler's name and the suffix of the Italian word for a type of nougat, *torrone*.

As industrialization led to rapid growth and corporate consolidation, Switzerland's chocolate production outgrew its domestic demand, and Swiss companies looked to expand internationally. In 1919, up to 75 per cent of the chocolate that Lindt & Sprüngli produced was exported overseas.[39] The historical reliance of a large portion of Swiss chocolate sales on international markets became problematic when the Great Depression and two world wars placed a strain on the availability of raw ingredients (namely, sugar and cacao) and reduced access to international markets. However, the Swiss chocolate industry again responded with innovation: its focus shifted to solidifying its position within the chocolate markets of Switzerland's neighbours—Germany, France, and Italy.[40]

Competitive Landscape

In 2020, Swiss chocolate production totalled about 180,000 tons, with sales of around $1.5 billion.[41] Switzerland was ranked as the leader in global chocolate consumption, at 10.4 kilograms (kg) per capita annually.[42] Around 34 per cent of Swiss consumers reportedly ate chocolate products more than five times per week, and the most common varieties they consumed were milk chocolate, dark chocolate, and chocolate with nuts.[43] Chocolate bars were the most popular product in the Swiss chocolate market in 2020, accounting for 51.2 per cent of sales.[44] Switzerland was also one of the world's top chocolate exporters.[45] A total of 70 per cent of Swiss chocolate was exported overseas; the top five export destinations were Germany, France, the United Kingdom, Canada, and the United States.[46]

Many of Switzerland's pioneering chocolate companies from the nineteenth and twentieth centuries, including Nestlé and Lindt, had persisted as industry leaders in the twenty-first century, both domestically and globally. As of 2020, there were sixteen chocolate factories in operation in Switzerland.[47] Over half of Switzerland's chocolate market share belonged to just six companies: Mars, Mondelez International, Nestlé, Ferrero, The Hershey Company, and Lindt & Sprüngli (see Exhibit 6). All benefited from strong brand awareness, positive brand images, and consumer brand loyalty due to their legacies in quality chocolate making for over a century. The products in these companies' portfolios ranged from economy to premium chocolates. Lindt & Sprüngli also strategically acquired Ghirardelli and Russel Stover to capture a greater portion of the market share in the United States.[48]

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Switzerland's domestic chocolate market was divided into two main areas: one was led by multinational companies that mass-produced and sold their industrialized products around the globe, and the other was made up of small-scale, sustainable, artisanal chocolate makers.[49] These smaller makers appealed to a growing niche market in Switzerland that valued quality, sustainability, and locally handcrafted products.[50]

Of the Swiss artisanal brands—which included Chocolat Stella ($3.80 for 100 g)[51] and Läderach ($5.97 for 64 g)[52] as well as SwissOne—consumers perceived SwissOne, which sold its 100 g chocolate bar for $7.49,[53] as the most artisanal brand. By contrast, multinationals primarily served the low-end chocolate market segment, which was made to be accessible and affordable while still meeting quality certifications. Consumers saw international brands like Ferrero ($2.61 for 90 g)[54] and The Hershey Company ($2.61 for 44 g)[55] as the most mass-produced chocolate brands, followed by Toblerone ($2.39 for 100 g)[56]; because Toblerone was owned by an international brand, consumers perceived it as Swiss and less mass-produced than the previous two brands. The brands with the least-mass-produced consumer perceptions were the Swiss brands Cailler ($2.50 for 100 g)[57] and Lindt & Sprüngli ($3.20 for 100 g).[58] The two types of chocolate producers competed on price versus taste and quality. When it came to industrialized chocolate, people still chose milk chocolate most often; but for artisanal chocolate, dark chocolate was the more popular choice.[59] While multinational brands ruled about 95 per cent of the chocolate market, 80 to 85 per cent of the market share belonged to the low-end chocolate segment, and only the remaining 5 per cent of the Swiss chocolate market served the market segment for premium, high-quality chocolate.[60] At the same time, consumer interest in high-end, artisanal chocolate was growing due to the health and ethical concerns that were lowering the demand for mass-produced, low-quality chocolate. While this represented an opportunity for new brands to respond to the growing demand for better chocolate, it was still a competitive industry.

Starting a chocolate business in Switzerland was fairly accessible since it required only the capital needed to invest in machinery and equipment.[61] Within Switzerland, supermarkets were the primary sales channel for chocolate; two of the country's largest supermarkets, Migros and Coop, commanded 70 per cent of the market share for chocolate sales and thus had significant control over the product options available to buyers.[62] For chocolate, word-of-mouth was the most effective form of marketing—as well as one of the most affordable.[63] Social media was another avenue that chocolate brands could use to develop relationships with their existing customers and reach new ones through ads, such as those targeted by region or income level. Due to the importance of taste when it came to choosing chocolate, tasting events were another way that chocolate brands could advertise and improve their brand awareness by letting customers experience their products.

Made in Switzerland

For chocolate to be considered as Swiss made, the manufacturing must have taken place within Switzerland, either from start to finish (from cacao bean to chocolate bar) or at least from the conching stage of the chocolate (that is, grinding the chocolate and mixing it for hours to achieve a smooth texture that was ready to pour into moulds).[64] However, the ingredients themselves—such as cacao beans, cocoa butter, sugar, or milk powder—could be imported.[65] Among the challenges facing the Swiss chocolate industry were the rising prices of raw materials such as sugar, due to border protections being imposed.[66]

Consumer Demand

The Swiss chocolate market and Swiss consumers demanded quality, transparency, and sustainable practices; they wanted to know how the cacao beans were produced and how farmers were being treated along the supply chain.[67] Although Switzerland was not part of the European Union (EU), it was a member of the European Free Trade Association (EFTA), which included the EU countries, so Swiss food laws largely aligned with those established by the EU. Imported cacao had to meet various requirements, from

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food safety to environmental certifications, to attract Swiss buyers. First, Switzerland imposed strict limits on the presence of contaminants within imported cacao; these included pesticides, heavy metals such as cadmium, and microbial contaminants, including salmonella.[68] Cacao that did not meet these initial requirements would be rejected. For further accountability, chocolate importers and retailers in Switzerland typically adhered to ISO 9000 quality standards for customer satisfaction, used food safety management systems, and had their products certified by GlobalG.A.P.—a business-to-business (B2B) organization that certified safe agricultural practices, including cacao production. They also pursued sustainable certifications such as Rainforest Alliance and UTZ Certified.[69]

Considering the high standards for cacao in Switzerland, many companies sought more niche certifications, such as Fairtrade and organic, to further differentiate themselves in the market. Fairtrade certification indicated that a product met various economic, environmental, and social criteria, such as paying farmers a proper living wage, and it prohibited the use of unethical practices such as child labour.[70] A certified organic product was one that used no genetically modified organisms and limited or restricted the use of artificial fertilizers, herbicides, pesticides, and antibiotics in its manufacturing.[71] The Swiss Platform for Sustainable Cocoa was established in 2018 with the goal of having at least 80 per cent of Switzerland's imported cocoa-based products coming from sustainable production by 2025; its members included both chocolate manufacturers like Lindt and Läderach and retailers such as Coop and Aldi Suisse.[72] Chocosuisse was an association of Swiss chocolate manufacturers that outlined trade policies, sustainability efforts, and quality standards, among other initiatives.[73] The existence of these organizations further indicated Switzerland's efforts toward offering sustainable chocolate to Swiss consumers. Global manufacturers like Lindt, Callebaut, Nestlé, and Mondelez had, in addition to adhering to these established expectations, also committed to their own sustainability programs and strategies; thus, companies entering the Swiss chocolate market had to strive for these standards in order to stay competitive and attract Swiss consumers.[74]

Consumer Segments

Chocolate consumers based their purchases on personal preferences, attributes of the chocolate itself, sociodemographic factors, and economic factors. Different groups of chocolate consumers emphasized different areas—some only considered price, while others only considered the quality and brand. A 2020 study found that, when making the decision to purchase chocolate, consumers fell into one of two groups: they were either treating themselves or they were purchasing the chocolate as a gift.[75] This grouping affected price sensitivity, which depended on the purchasing occasion.

Taste was the key factor in chocolate purchase decisions, although the definition of "good" taste depended on the consumer. Consumers viewed chocolate as a source of indulgent gratification or comfort and as a tasting experience; therefore, the healthiness of a chocolate was less important than its taste. While consumers sometimes responded positively if the chocolate offered nutritional benefits, taste was so critical that consumers were more likely to purchase chocolate that tasted good than chocolate that was "healthy." When consumers considered a chocolate to be "healthy," they also perceived it to be higher quality; however, consumers overall were becoming more health-conscious, so brands that could create a chocolate that both tasted good and had health benefits could gain an advantage.

Research indicated that the presence of Fairtrade labels positively impacted the brand image of the chocolate.[76] The study showed that consumers were willing to pay more for products with Fairtrade labelling than for products with other sustainability labels. Brand loyalty among chocolate consumers was primarily based on the perceived quality and taste of that brand's chocolate, based on the consumer's previous chocolate consumption experiences. When a consumer was unfamiliar with a brand, the appearance of the packaging was key in their decision-making. Considering the indulgent and gift-giving nature of many chocolate purchases, packaging and portion size both affected consumers' buying decisions.

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In a study on a random sample of consumers, about half of the respondents indicated that they consumed chocolate at least once a week, and about a third of them consumed chocolate daily.[77] The amount the consumer was willing to pay was related to the chocolate's cacao percentage; the presence or absence of a Fairtrade label; the country of production; the taste; and the type of chocolate (dark, milk, or white). Overall, the participants perceived Fairtrade to be a better guarantee of sustainability and quality—and less of a marketing technique—than organic labels. Respondents felt most indifferent toward the labelling of white chocolate, while preferring labelled milk or dark chocolate. Organic labels did help create a perception of "healthier" chocolate, even for a product that was not particularly healthy, and a Fairtrade label mostly created the perception that the chocolate was more expensive and helped farmers in developing countries.

The study identified two consumer segments, each representing 50 per cent of the market. In the first segment, consumers largely preferred milk or dark chocolate and positively valued Fairtrade. On average, they were willing to pay about $2.00 to $5.00 per 100 g of chocolate. They had higher incomes and were more likely to believe that organic and Fairtrade chocolate was healthier than conventional chocolate. Consumers in the other segment did not like or consume chocolate but sometimes bought it as a gift. They preferred milk or dark chocolate, were not brand loyal, and were willing to pay between $2.00 and $6.00 per 100 g of chocolate.[78]

A study about chocolate lovers—those who consumed chocolate daily—found that they preferred milk and dark chocolate over white chocolate.[79] Overall, the respondents preferred artisanal chocolate over industrially produced chocolate. These indicators of quality and sustainability translated into a higher willingness to pay among chocolate lovers: these respondents were willing to spend two to three times more for artisanal chocolate than for industrial chocolate. The most popular type of chocolate was milk chocolate from an artisanal production process; consumers still preferred taste and quality over Fairtrade labelling but did tend to consider both. The study identified three main consumer segments, and each segment placed different values on taste versus ethics and sustainability. The first two segments were of equal size and made up the majority of participants (80 per cent), and the third segment represented about 20 per cent. For all segments, the study indicated that taste remained the dominating factor when choosing chocolate. Quality and origin, followed to a lesser extent by ethical considerations, were secondary factors.

The first segment of study respondents preferred artisanal and Fairtrade-labelled chocolate. These respondents had a clear preference for milk chocolate, followed by dark and then white. They valued both taste and Fairtrade certification, but taste had a stronger impact than Fairtrade labelling, and they were less price sensitive. The second segment loved artisanal and Fairtrade chocolate. Respondents in this segment preferred dark chocolate over milk and white, had a selective preference for taste, and were brand loyal. They had the highest share of male respondents, highest average age, and highest share of high-income households. The final segment of chocolate lovers consisted of consumers who were not brand loyal and who were indifferent to ethical considerations and the production process (industrial versus artisanal). They preferred any type of chocolate—milk, dark, or white. This segment was the most price sensitive and largely consisted of young female respondents who frequently ate chocolate and preferred sweeter (milk or white) chocolate.

WHAT NEXT?

After researching the global and Swiss chocolate industries, Stuber was ready to finalize his marketing and strategy for SwissOne. He knew he would need to assess the Swiss business environment as well, to better understand how customer trends would affect demand for chocolate, as well as the various target segments. He hoped this would help SwissOne identify its positioning strategy options in the Swiss market. Once he accomplished that, Stuber was confident that his three chocolate bars would become a success in Switzerland.

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EXHIBIT 1: BRAND LOGO AND WEBSITE



Source: Cocoa Luxury SA, "SwissOne: Swiss Coca Luxury," SwissOne, accessed August 8, 2021, https://www.cocoa-luxury.com/copy-of-SWISSONE-deutsch-2.

EXHIBIT 2: PRODUCT PORTFOLIO

SwissOne Milk



SwissOne Nougatine



SwissOne Dark



Source: "SwissOne: Swiss Coca Luxury," SwissOne, accessed August 8, 2021, https://www.cocoa-luxury.com/copy-of-SWISSONE-deutsch-2.

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EXHIBIT 3: BIO FOIL PACKAGING

“Biodegradable film made of wood”

“Foil made from renewable raw materials has been an issue for a long time, but only recently has a product become available that is no longer made from food such as corn, but from FSC wood. This film is steamed with a wafer-thin aluminum layer so that the chocolate is protected from light and oxygen and keeps its freshness. The aluminum layer is 17 times thinner than a normal aluminum foil for chocolates and weighs just 0.078 g per 100 g bar of chocolate.”



“Certified as compostable packaging”

“The film is biodegradable and certified both for the American standard ASTM D6400 and for the European standard EN13432 for compostable packaging. In addition, the film has also been tested [against] the ‘OK certified Compost Home’ regulation; [its] suitability for use in home composting has been proven.”

Source: SwissOne, “Bio Foil,” SwissOne, accessed December 8, 2021, https://www.cocoa-luxury.com/bio-foil.

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EXHIBIT 4: GLOBAL CHOCOLATE INDUSTRY BY REGION AND CHANNEL (2020)

Region	Value ($ billion)
Western Europe	37.9
North America	23.2
Asia Pacific	15.2
Eastern Europe	13.6
Latin America	7.4
Middle East & Africa	6.2
Australia	2.6
Total	**106.1**

Channel	Market Share (%)
Supermarkets	26.1
Hypermarkets	14.6
Independent Grocers	10.2
Discounters	8.9
Convenience Stores	8.8
E-Commerce	4.7
Non-Grocery Specialists	4.4
Other	22.3

Note: A hypermarket was a combination grocery store and department store.
Source: Created by authors based on data from “Chocolate Confectionery,” Euromonitor International, accessed July 13, 2021.

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EXHIBIT 5: SWISS CHOCOLATE COMPANIES AND BRANDS, BY YEAR OF FOUNDING

Company or Brand	Founded	Products
Cailler Chocolate	1819	Chocolate Bars, Pralines, Plaisirs Gourmands
Favarger	1826	Ganaches and Pralines, Avelines, Chocolate Bars
Chocolat Suchard	1826	Truffles, Bars
Chocolat Kohler	1830	Milk Chocolates, Chocolate Bars, and More
Confiserie Sprüngli	1836	Luxemburgerli, Truffles, and More
Chocolat Alprose	1839	Chocolate Tables, Truffles, Chocolate Bars
Maestrani Chocolarium	1852	Minor Nut Chocolates, Munz, and Maestrani
Du Rhône Chocolatier	1875	Assortments, Bars, Mocca Glacé, Palets
Lindt & Sprüngli	1899	Chocolate Bars, Luxemburgerli, Truffles
Coco Suisse	1901	Chocolates, Slims, Chocolate Bars, and Truffles
Villars Maître Chocolatier	1901	Pure Liquors, Chocolate Praline
Ovomaltine Switzerland	1904	Chocolate Bars, Truffles
Felchlin Switzerland	1908	Couverture and Chocolate, Giandujas, Glazes
Toblerone	1908	Chocolate Bar
Stella Bernrain	1928	Classic Chocolates, Lactose-Free Milk Chocolate, Organic Chocolate, and More
Camille Bloch	1929	Chocolate Bars, Truffles
Teuscher	1932	Champagne Truffles, Chocolate Bars, Sugar-Free Chocolates, and More
Ragusa	1936	Chocolate Bars, Truffles
Schmerling's	1952	Solid Bars, Rosemarie Bars, Chocolate Sticks
Holl's Swiss Chocolates	1958	Dark Chocolate, Milk Chocolate, Nut Chocolate
Läderach	1962	Gourment, Bars, Truffles
Caotina Chocolate	1963	Caotina Noir, Caotina Blanc, Caotina Pronto
Chocolaterie Micheli	1964	Truffles, Dark Chocolate
Goldkenn	1980	Gold Collection and Liquor Collection Chocolates
Neuchatel Chocolates	1981	Gourment, Bars, ChocoEve
Philippe Pascoët—Chocolat Pascoët Sàrl	2011	Gourments, Truffles
Cocoa Luxury (SwissOne)	2021	Chocolate Bars

Source: Created by authors based on data from Nestlé Group, Cailler (website), accessed April 28, 2022, https://cailler.ch/; Chocolats et Cacaos Favarger SA, Favarger (website), accessed April 28, 2022, https://www.favarger.com/; Carambar&Co, Suchard (website), accessed April 28, 2022, https://www.carambarco.com/en/brands/suchard/; Kohler Co., The Art of Kohler Original Recipe Chocolates (website), accessed April 28, 2022, https://kohlerchocolates.com/; Confiserie Sprüngli AG, Sprüngli (website), accessed April 28, 2022, https://www.spruengli.ch/; Chocolat Alprose SA, Alprose (website), accessed April 28, 2022, https://alprose.ch/; Maestrani Swiss Chocolate Ltd., Maestrani (website), accessed April 28, 2022, https://www.chocolarium.ch/en/; Du Rhône Chocolatier (website), accessed April 28, 2022, https://durhonechocolatier.ch/; Chocoladefabriken Lindt & Sprüngli AG, Lindt & Sprüngli (website), accessed April 28, 2022, https://www.lindt-spruengli.com/; Coco Suisse (website), accessed April 28, 2022, https://cocosuisse.com/; Villars, Villars Pur Chocolat Suisse (website), accessed April 28, 2022, https://www.villars.com/; Wander AG, Ovomaltine (website), accessed April 28, 2022, https://www.ovomaltine.com/; Max Felchlin AG, Felchlin (website), accessed April 28, 2022, https://www.felchlin.com/; Mondelēz International, "Toblerone," Mondelēz International, accessed April 28, 2022, https://www.mondelezinternational.com/Our-Brands/Toblerone; Chocolat Bernrain AG / Chocolat Stella SA, Stella Bernrain (website), accessed April 28, 2022, https://www.swisschocolate.ch/; Camille Bloch (website), accessed April 28, 2022, https://camillebloch.ch/; Teuscher Chocolate, Teuscher Chocolates of Switzerland Philadelphia (website), accessed April 28, 2022, https://teuscherphiladelphia.com/; Camille Bloch, Ragusa (website), accessed April 28, 2022, https://www.ragusa.ch/; Schmerling's (website), accessed April 28, 2022, https://www.schmerling.com/; Holl's Handcrafted Swiss Chocolates (website), accessed April 28, 2022, https://www.holls.com/; Läderach AG, Läderach Chocolatier Suisse (website), accessed April 28, 2022, https://us.laderach.com/; Wander AG, Caotina (website), accessed April 28, 2022, https://www.caotina.com/; Chocolaterie Micheli (website), accessed April 28, 2022, https://micheli.boutique/; Goldkenn (website), accessed April 28, 2022, https://goldkenn.com/; Neuchatel Swiss Chocolates (website), accessed April 28, 2022, https://www.neuchatelchocolates.com/; Philippe Pascoët (website), accessed April 28, 2022, https://www.pascoet.ch/; Cocoa Luxury SA, SwissOne (website), accessed April 28, 2022, https://www.cocoa-luxury.com/.

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EXHIBIT 6: SWISS CHOCOLATE MARKET SHARE (2020)

Companies and their brands	Share %
Mars (e.g., Twix, Snickers, M&Ms)	14.4
Mondelez International (e.g., Oreo, Toblerone)	13.7
Nestlé (e.g., Kit Kat, Cailler)	10.2
Ferrero (e.g., Nutella, Kinder)	9.5
The Hershey Company (e.g., Reese's, York)	7.2
Lindt & Sprüngli (e.g., Lindt, Ghirardelli)	5.1
Other companies, including Favarger, Alprose, Chocolat Villars, Stella, Läderach, and Camille Bloch	39.9
Total	100.0

Note: While Nestlé currently owned Kit Kat, in the United States, Kit Kat was made by H.B. Reese, which was a division of The Hershey Company.
Source: Created by the authors based on Oscar Gibbons, "Chocolate Industry: The Effects of Consumer Preferences on Bean-to-Bar Chocolate Producers" (bachelor's degree project, Hauté École de gestion de Genéve, 2020), 2.

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